TANFAC Industries: The Fluorine Platform and the Price of Growth — Masterclass Companion Book

A step-by-step narrative walkthrough and audio companion to TANFAC Industries: The Fluorine Platform and the Price of Growth: deconstructing the business engine, global historical parallels, ten-year financial forensics, both sides of the institutional debate, and the discipline of high-asymmetry execution.

Company & Market: TANFAC Industries: The Fluorine Platform and the Price of Growth (IN)
Research Session Cutoff: 2026-11-06 • **Generated:** 08 Nov 2026, 01:03 PM PST
Core Verdict: WAIT_FOR_SUPPORT (NO_NEW_ALLOCATION_PENDING_CONFIRMATION)
Authored & Narrated by: Senior Institutional Equity Research Desk • Masterclass Companion Audio-Reader Edition (16,457 words • ~106 min listen)

CONTENTS

A Sequential Guide to the Business Engine, Global Parallels, Financial Forensics & High-Asymmetry Execution

TANFACIND – The Plant, the Promise, and the Price	PROLOGUE
A Plant, a Platform, and the Price of Expectations	CHAPTER I
One Fluorine Platform, Several Ways to Earn	CHAPTER II
The Route from Rock to Revenue	CHAPTER III
The Moat Inside the Molecule—and the Fragility Around It	CHAPTER IV
The Operating Scorecard: Capacity, Conversion and Cash	CHAPTER V
The Decade Behind the Earnings	CHAPTER VI
Why the Stock Trades Here – Market Expectations vs. Peers	CHAPTER VII
The Trend Is Constructive; the Entry Is Not	CHAPTER VIII
What Must Go Right—and What Could Break	CHAPTER IX

SESSION PRICE

₹3,415.95

VERDICT

WAIT_FOR_SUPPORT

STAGE POSTURE

BUY / SUPPORT ZONE

₹3,278.75–3,456.47

PRICE TARGET

₹2,800.00 / ₹4,700.00

PREFACE & CORE THESIS

Run status: PUBLISHED_WITH_GATE_EXCEPTIONS. As of 6 November 2026, TANFAC closed at ₹3,415.95 in a Stage 2 trend, but low relative volume and a 101.77x TTM P/E leave no reason to chase. H1 FY27 revenue reached ₹417.7 Cr, while EBITDA margin fell to 14.4% and PAT to ₹35.9 Cr; the Q1 management target was 21–22% EBITDA margin for FY27. TANFAC's single-site integrated HF platform and growing solar-grade/HFC-32 contracts offer real growth options, yet FY26 free cash flow was negative ₹39.05 Cr after ₹82.45 Cr of PPE cash spend and H1 margins remain below target. Our independent verdict is WAIT_FOR_SUPPORT/no new allocation until the new capacity operates, margins recover and cash conversion turns positive; historical-source freshness exceptions are disclosed without relabelling dates.

PROLOGUE

TANFACIND — The Plant, the Promise, and the Price

> *"A promise earns its price only when the plant turns it into cash."*
>
> — INSTITUTIONAL RESEARCH DESK MAXIM

You and I should begin not with the share chart but with a place: a single industrial site at SIPCOT, Cuddalore, where TANFAC Industries has made fluorochemicals since commercial production began in 1985. Its chain starts with imported fluorspar and domestic sulphur, turns sulphur into acid and oleum, then uses that chemistry to make hydrofluoric acid and downstream products. This is an integrated operating platform, not a collection of unrelated businesses. The integration can support cost and supply control; it also concentrates execution, weather, equipment and logistics risk in one site.

That distinction matters because the accounts do not disclose a separate profit statement for each product. Legally, TANFAC reports one segment, 'Fluro-Chemicals in India.' For H1 FY27, the company gives a management-level revenue view: 75% hydrofluoric acid and 25% sulphuric acid plus other value-added products. You must not turn that into a margin split. We do not know which stream supplied what share of profit, and any investor who acts as though we do is filling the silence with a story.

The plant is running unevenly. At FY26 year-end, sulphuric acid/oleum capacity was 100,000 tonnes a year at 101% utilization; HF was 30,000 tonnes at 95%; specialty inorganic fluorides were 5,000 tonnes at 41%. Solar DHF rose from 20,000 tonnes at FY26 close to 25,000 tonnes by November after ₹47 crore of debottlenecking. Capacities are not additive: downstream products use HF. Capacity is an option; profitable utilization is evidence.

Solar DHF is the clearest newer growth case: specified below 10 parts per billion impurities for wafer texturing, cleaning and etching. Public releases name ₹732 crore of supply to Kredence Electronics Materials India and ₹336 crore to Krishna Organics through FY2028–29, together ₹1,068 crore of visibility; no additional capex was stated for the Kredence

order. These are named contracts, not disclosed process details, guaranteed margins or a public price formula.

The larger step is HFC-32: planned capacity is 20,000 tonnes a year at Cuddalore, with Q3 FY27 commissioning expected in the 2 November update. As of 30 September, ₹360 crore was committed and ₹231 crore spent. TANFAC describes agreements or MoUs covering 65% of capacity; a seven-year Japanese-customer contract starts 1 January 2027 at estimated ₹337.5 crore annual value. The counterparty is unnamed. Dated project-cost and coverage estimates differ; keep them separate rather than inventing precision.

H1 FY27 revenue was ₹417.7 crore, up 21.2%, while EBITDA rose 5.6% to ₹60.6 crore; margin fell to 14.4% from 16.6%. Q2 revenue grew 36.6% to ₹230.5 crore, EBITDA 13.1% to ₹31.1 crore, with 13.3% margin versus 16.2%. H1 PAT slipped 1.6% to ₹35.9 crore; Q2 PAT rose 10.5% to ₹19.0 crore. Management cited realizations, sulphur, new-product ramp-up and power, fuel and freight. Sales growth has not yet become operating leverage.

Management's FY27 ambition is at least 30% revenue growth and 21–22% EBITDA margin, with 25% after HFC-32 is operational. At the 30% growth floor, H2 would need roughly 26.4–28.2% EBITDA margin to deliver the full-year target, midpoint 27.3%. This is our arithmetic, not management guidance. The gap from H1's 14.4% is the central operating question. The Q1 call had discussed 16–19% margins from the following quarter; Q2's reported margin was 13.3%.

FY26 brought record revenue of ₹711.1 crore, yet EBITDA was ₹112.1 crore and PAT ₹70.1 crore, both below FY25; operating margin normalized to 15.8%. CFO was ₹43.4 crore against ₹82.4 crore of cash capex, leaving roughly negative ₹39.0 crore free cash flow. The ₹250 crore June QIP and roughly ₹100 crore September preferential issue strengthened funding but issued shares. At H1, borrowings were ₹135.6 crore, cash ₹99.1 crore and investments ₹59.9 crore. Show the components before calling the balance sheet debt-free.

At the verified 6 November close of ₹3,415.95, trailing P/E was 101.77 times. An 8 November vendor snapshot showed ₹3,431.90; this date/provider discrepancy is why we use the exact-session close. The share is in Stage 2 above rising averages, but volume was only

0.27 times its 20-day average: constructive trend, not confirmed breakout. That multiple assumes earnings unlike today's compressed margins and recent cash conversion.

My short-term verdict is WAIT, not chase: the price is near its ₹3,405.39 nearest support and within the ₹3,278.75–₹3,456.47 support-buy zone, but thin volume weakens the signal. A fresh entry waits for a reclaim and hold above ₹3,456.47 on improved volume. My medium-term verdict is CONDITIONAL HOLD / selective accumulation only after evidence: HFC-32 commissioning, actual dispatches, and margins moving toward the stated FY27 ambition must replace schedule risk with operating results. My long-term verdict is WATCHLIST, not an unconditional compounder: the integrated chemistry and downstream options are attractive, but valuation, single-site concentration, weak FY26 free cash flow and unproven HFC-32 economics leave little room for execution disappointment.

Keep the risk map. TradingView gives ₹2,735.14 as invalidation and ₹2,822.21 as the 30-week average; the 52-week high is ₹3,648. These are references, not guarantees. Bears cite margin disappointment, delay, working-capital absorption and lower-GWP policy transition; bulls need commissioning, contract-backed volumes and margin recovery. HFC-32 is lower-GWP than R-410A, not zero-emission or policy-proof. Respect the promise without paying as if it were already cash.

> **NARRATOR'S REFLECTION — THE QUIET WORK BETWEEN ORDERS AND EARNINGS**
>
> *"Orders are not earnings."*
>
> A signed order is not a margin statement. Ask what shipped, at what realization, and how much cash survived working capital and capex. Missing answers counsel against invented certainty.

> **GLOBAL PARALLEL (US/INDIA/EUROPE) • GLOBAL PARALLEL (US/INDIA/EUROPE)**
>
> *"Scale is not equivalence."*
>
> Honeywell (US) and Arkema's arrangement expands access to lower-GWP HFO blends under Forane; this does not establish TANFAC-like captive AHF economics. GFL (India) is larger and spans fluoropolymers, fluorochemicals, battery chemicals and renewable energy; R-32 is in its refrigerant portfolio. Arkema (Europe) sells Forane®32 R-32 for AC/heat pumps (GWP ~675/677; A2L). Not peers.

MENTAL MODEL — THREE GATES, ONE PRICE

"Capacity is not cash."

Three gates: capacity to dispatch; dispatch to margin and cash; earnings growth to justify price. Use levels for entry; evidence for conviction.

CHAPTER I

A Plant, a Platform, and the Price of Expectations

> *"A plant compounds capability; a share price compounds expectations."*
>
> — INSTITUTIONAL RESEARCH DESK MAXIM

You and I should keep two histories distinct: a plant's operating record and the stock's changing price. TANFAC was incorporated in 1972; commercial production at Cuddalore began in March 1985. A legal birth, first output and later commercial reinventions are separate milestones. The company remains rooted in a single fluorochemicals site in Tamil Nadu, rather than a chain of acquired businesses or multiple disclosed operating segments.

The site's chemistry maps the business. Fluorspar and sulphur are core inputs; sulphur becomes sulphuric acid and oleum, which support hydrofluoric acid production. HF is sold in grades or converted into downstream fluorinated products. TANFAC describes captive power and waste-heat recovery as important to its setup; fluorspar suppliers include South Africa, Vietnam, Thailand and Kenya. Integration offers manufacturing options, not guaranteed pricing power: utilization, input costs, product mix and customer terms still shape returns.

A key ownership milestone came in March 2022, when Anupam Rasayan became co-promoter and joint controller alongside TIDCO. That marks a governance change, not proof that later sales, margins or share-price moves were caused by it. Read the transition alongside subsequent capacity, audited results and dated management disclosures.

At FY26 year-end, the company reported 100,000 tonnes of sulphuric acid and oleum capacity at 101% utilization, 30,000 tonnes of HF at 95%, and 5,000 tonnes of specialty inorganic fluorides at 41%. These figures help explain why TANFAC is investing beyond its core streams, but do not add up to a meaningful single output figure: downstream products use the HF stream, and utilization varies by product. Audited reporting identifies one operating segment, 'Fluoro-Chemicals in India'; product-level profits are not disclosed. You and I should therefore resist assigning a separate margin to each product.

In October 2024, TANFAC commissioned an anhydrous hydrofluoric acid expansion, taking stated AHF capacity from 14,850 to 30,000 tonnes per year for about ₹100 crore. AHF is an input for refrigerants and other fluorinated chemistry. Capacity is not sales, and sales are not profit. Q1 FY27 management cited ₹275–₹280 per kilogram realization and a typical 30–45-day lag in raw-material cost pass-through.

Solar-grade diluted hydrofluoric acid (DHF) adds a high-purity downstream grade. Its 20,000-tonne annual facility was commissioned in June and October 2025; company material describes below-10-parts-per-billion trace elements and wafer texturing, cleaning and etching uses. Public releases name ₹732 crore (excluding GST) of supply to Kredence Electronics Materials India and ₹336 crore to Krishna Organics, through FY2028-29. These total ₹1,068 crore of disclosed order visibility, but releases give no customer-side process details or price formula.

By 2 November 2026, company materials reported DHF debottlenecking to 25,000 tonnes per year for ₹47 crore from internal accruals. Keep this later capacity distinct from the 20,000 tonnes at FY26 close. Updated contract coverage against 25,000 tonnes and DHF-specific margins are unpublished. The evidence supports expansion and order visibility, not a fully known revenue, utilization or return profile.

The distinction between a reported operating stream and a statutory segment matters here. TANFAC's Q2 FY27 presentation described H1 revenue as 75% HF and 25% sulphuric acid plus other value-added products. That is a management-level sales split, not a formal segment disclosure, and it says nothing about relative profit contribution. Solar-cell applications are one of several end markets the company lists; the presentation's client logos do not map each named company to a product, period or revenue share. So a growing application story should not be mistaken for verified customer economics.

TANFAC is also developing a 20,000-tonne-per-year HFC-32 facility. The 2 November 2026 presentation expected Q3 FY27 commissioning and showed ₹360 crore committed and ₹231 crore spent at 30 September. Earlier materials described an approximately ₹495 crore integrated package; the Q1 call cited ₹390 crore and ₹315 crore committed. Treat these as dated estimates with differing scopes. Management described arrangements and

MoUs covering 65% of planned capacity; the Japanese agreement for 7,500 tonnes of fluorinated chemicals does not prove all those tonnes are HFC-32.

Management said one long-term HFC-32 tranche had a formula-based price near US$5.5 per kilogram and a fixed EBITDA margin under that contract. These remain management statements, not guarantees for every tonne. HFC-32 has lower global-warming potential than R-410A but remains an HFC. U.S. phasedown policy and EU fluorinated-gas rules make this a transition business: the plant may broaden products and markets, while commissioning, customer ramp and regulation affect returns.

The long financial series shows cycles before the recent expansion. Sales rose from ₹120 crore in FY15 to ₹222 crore in FY19, then eased to ₹165 crore in FY20 and ₹148 crore in FY21. PAT moved from a ₹5 crore loss in FY15 to ₹36 crore in FY19, then ₹17 crore in FY20 and FY21. The annual summary does not isolate price, mix, input costs, downtime or demand, so we should not invent one cause for each change.

Sales stepped up to ₹320 crore in FY22, ₹375 crore in FY23 and ₹378 crore in FY24; PAT was ₹53 crore, ₹56 crore and ₹52 crore. FY25 sales rose to ₹557 crore and PAT to ₹88 crore. FY26 set a revenue record at ₹711 crore, while PAT fell to ₹70 crore and operating EBITDA declined from ₹128.9 crore to ₹112.1 crore. Audited FY26 EBITDA margin was 15.76%: record revenue and normalized profitability can coexist.

The first half of FY27 adds a timely check against optimistic extrapolation. The Q2 presentation showed H1 revenue of ₹417.7 crore, up 21.2%, but EBITDA rose only 5.6%, while PAT slipped 1.6%; margin declined to 14.4% from 16.6%. Q2 alone showed faster revenue growth and better year-on-year PAT, yet the EBITDA margin was 13.3% versus 16.2%. Management cited higher realizations, sulphur, new-product ramp and power, fuel and freight costs. These are reported results and management explanations, not proof that margins have found a floor.

Earlier, Q1 management guided to at least 30% FY27 revenue growth and a 21–22% full-year EBITDA margin, with a higher margin after HFC-32 starts up. Against H1's reported 14.4% margin, reaching the full-year target would require a much stronger second half. On simple target arithmetic, the required H2 margin is about 26.4–28.2% if revenue grows 30%;

that is an analyst-implied hurdle, not a separate company forecast. You and I should keep dated guidance distinct from reported results and test the next update against both.

Cash flow complicates the growth story. The historical series shows positive operating cash flow, but negative free cash flow in FY24–FY26. In FY26, operating cash flow was ₹43.4 crore against ₹82.4 crore of cash PPE/CWIP purchases, or roughly negative ₹39.0 crore after investment; working-capital adjustments absorbed ₹52.8 crore before tax. These figures show cash demands, not whether a particular expansion will earn adequate returns. Capacity is a claim on cash today; later utilization and cash generation are the test.

Now set the stock series beside the factory timeline, not on top of it. Yahoo's monthly history is already adjusted for the 2:1 share subdivision and is not dividend-adjusted. The March 2019 close of ₹108.78 fell to ₹66.75 by March 2020, about 38.6%; from December 2020's ₹93.40 to December 2021's ₹343.90, it rose about 415%. The chart establishes price changes, not why investors repriced the company or which plant, product or shareholder caused them.

The split-adjusted price rose from ₹343.90 in December 2021 to ₹1,927.73 in December 2024, about 460.5%; it then gained 6.6% through December 2025 and about 66% from there to 6 November 2026. The sequence includes very different annual returns and a pause. It does not prove the 2022 control change, 2024 AHF commissioning or DHF orders caused a particular leg. Causality requires more than chronology: market information, changing expectations and alternative drivers.

A 2:1 split turns each old share into two; per-share price and earnings are mechanically halved at the split point, all else equal. Aggregate ownership value is not doubled. A split-adjusted chart scales old prices retrospectively to avoid a false 50% drop, and EPS comparisons must use consistently restated figures. The split changes the measuring unit, not the factories or company value by itself.

Split-adjusted March closes were ₹802.88 in FY23, ₹1,178.15 in FY24, ₹1,442.32 in FY25 and ₹2,524.15 in FY26. Dividing by audited restated EPS gives fiscal year-end P/E estimates of 28.53, 44.80, 32.65 and 71.79 times. At the 6 November 2026 close of ₹3,415.95, one snapshot showed 101.77 times trailing earnings and another 107 times. Multiples capture

expectations as well as earnings; these provider-dependent readings are not intrinsic-value measures.

Keep three ledgers separate: what TANFAC built, what it reported and what investors paid. Its record includes industrial foundations, ownership change, new capacity, growth and normalization. Its price history shows sharp advances and declines, but not their causes. When the ledgers diverge, you have a question to investigate—not permission to invent a story.

NARRATOR'S REFLECTION — TWO CLOCKS, ONE COMPANY

"Capacity is ambition, not earned profit."

Engineering and qualification set operating time; markets move on expectations. Their gap holds opportunity and disappointment.

GLOBAL PARALLEL (US/INDIA/EUROPE) • A FLUOROCHEMICALS BUSINESS IN THREE REGIONS

"Industry context is not economic equivalence."

U.S.: Honeywell–Arkema expands access to lower-GWP HFO blends under Forane, not TANFAC-like captive AHF economics. Europe: Arkema's Forane 32 is R-32 for air conditioning and heat pumps (GWP 675/677, A2L). India: GFL spans fluoropolymers, fluorochemicals, battery chemicals, renewable energy and R-32; it is larger and more diversified, not a direct valuation peer.

MENTAL MODEL — THE THREE-LEDGER TEST

"Separate capacity, results and expectations."

Track commissioned capacity; reported sales, margin and cash; then price and valuation. Orders are not shipments, shipments are not margins, and price rises do not prove causation.

CHAPTER II

One Fluorine Platform, Several Ways to Earn

> *"A product mix is a map of choices; a profit mix is the map investors still have to earn."*
>
> — INSTITUTIONAL RESEARCH DESK MAXIM

To understand TANFAC, begin with a distinction that prevents analytical confusion. In its FY26 audited accounts, the company reports one statutory segment, spelled "Fluro-Chemicals in India." It does not publish separate segment profits or profit by product. The Q2 FY27 presentation gives a management view of H1 revenue streams: 75% Hydrofluoric Acid (HF) and 25% Sulphuric Acid & Other Value Added Products. This is not a second statutory segment or a margin table. You can say HF-linked streams supplied three quarters of reported H1 revenue; you cannot say they supplied three quarters of profit or assign a share to any downstream product. Keep the labels honest and conclusions proportionate.

The portfolio makes more sense as a chain than a list. TANFAC's Cuddalore site brings together fluorspar and sulphur, makes sulphuric acid and oleum in-house, then produces HF and downstream grades. This is a shared industrial foundation, not proof that every tonne of input becomes a particular product. Captive power and waste-heat recovery meet a large share of site energy needs; fluorspar comes from suppliers including South Africa, Vietnam, Thailand and Kenya, while sulphur is sourced domestically. Chennai port supports imported inputs and exports. These facts explain the operating context, not product-level cost advantages or margins. Fluorspar supplies the fluorine-bearing feedstock, while sulphur sits upstream of acid production; that sequence helps explain why acid and HF families belong in one operating story without collapsing them into one product.

Start with sulphuric acid and oleum, the platform's upstream side. TANFAC lists 100,000 tonnes per annum (TPA) of combined capacity at FY26, with 101% utilisation. The company offers 98% sulphuric acid; oleum is a more concentrated, fuming form of sulphuric acid used where processes require a stronger sulphonating or dehydrating agent. Imagine a customer buying a bulk acid input to specification. The acid and oleum operation is also part of the wider fluorspar-to-HF chain. For this family, therefore, you have both external-product

economics and an enabling role in the site's chemistry, but the public reporting does not separate those uses. TANFAC does not publish the acid-versus-oleum revenue split, profit contribution or buyer-to-product map.

Anhydrous hydrofluoric acid (AHF) is both a key intermediate and a product. “Anhydrous” means water is absent or tightly controlled; it differs from diluted HF. TANFAC expanded AHF capacity from 14,850 to 30,000 TPA in October 2024 for about ₹100 crore. At FY26, HF capacity was 30,000 TPA with 95% utilisation. AHF can be shipped in bulk ISO containers and used as an input in refrigerants and other fluorinated chemicals. An illustrative chemical producer buys a controlled bulk input for downstream manufacturing. That buyer must receive the specified grade and manage industrial handling, then convert the input into its own product; the steps after delivery are the customer's, and TANFAC does not describe them. The disclosed information does not identify an AHF buyer or map a client logo to this product.

AHF also shows why a high selling price is not necessarily a high margin. Management cited Q1 FY27 realization of ₹275–₹280 per kilogram; contracts are typically monthly or quarterly, and raw-material pass-through generally lags 30–45 days. This is a dated realization, not a current price guarantee, product margin or forecast. Do not apply it to diluted HF or solar DHF, for which equivalent product-level pricing is not published. In H1 FY27, management said AHF gross profit per tonne was broadly stable while gross-margin percentage was lower amid higher realizations, sulphur, new-product ramp-up and power, fuel and freight.

Diluted hydrofluoric acid (DHF) adds water to HF for a required concentration and application. TANFAC lists it separately from solar-grade DHF: ordinary diluted HF is not automatically a solar-grade material. Applications can include glass etching and industrial surface treatment, but no product-specific customer list, price or revenue share is disclosed. Imagine an illustrative glass processor sourcing a grade to specification for an etching or cleaning step. The buyer's needs determine concentration and handling arrangements, while the supplier's job is to deliver a consistent specified grade. This explains the commercial logic; it is not a claim about a TANFAC customer. Q2 client logos are not assigned product by product.

Solar-grade DHF is the clearest high-purity downstream product. TANFAC specifies trace elements below 10 parts per billion and use in solar-wafer texturing, cleaning and etching. In an illustrative customer journey, a solar-materials maker specifies low contaminant levels, qualifies a supply and uses the solution in wafer preparation. Qualification and repeatability matter as much as a catalogue specification in a high-purity chemical relationship, although TANFAC has not published the customers' internal criteria. Do not add undisclosed customer-side process steps. Public orders evidence demand: ₹732 crore, excluding GST, for Kredence Electronics Materials India through FY2028–29, and ₹336 crore, excluding GST, for Krishna Organics through FY2028–29. Together these announcements represent ₹1,068 crore of order visibility, not revenue already recognized; the releases say no additional capex was required for the Kredence order.

Capacity chronology matters. At FY26 year-end, solar DHF capacity was 20,000 TPA, commissioned in June and October 2025. By the 2 November 2026 company presentation, ₹47 crore of debottlenecking from internal accruals had raised current capacity to 25,000 TPA. Use 25,000 TPA for today's operating picture and 20,000 only for FY26. Updated contract coverage against 25,000 TPA, order-specific price formula and customer process are undisclosed. The investor question is how quickly capacity becomes qualified, shipped and collected sales, and what returns it earns. Public data gives demand and capacity markers, not the full bridge.

Specialty inorganic fluorides extend the downstream menu. At FY26, TANFAC reported 5,000 TPA capacity across aluminium fluoride (AlF3), potassium fluoride (KF), potassium bifluoride (KHF2), boron trifluoride (BF3) and sodium silicofluoride, at 41% utilisation. "Specialty" does not establish high margins; product-level profitability is unpublished. AlF3 offers an illustrative walkthrough: in aluminium smelting it is a make-up ingredient in molten reduction-cell electrolyte, helping maintain bath chemistry. TANFAC lists 50 kg, 1,000 kg and 1,500 kg packs, formats that illustrate how industrial logistics can serve different shipment sizes without revealing a particular customer's buying pattern. A hypothetical smelter replenishing a process input is an archetype, not a disclosed buyer.

KF gives you a different downstream picture. Potassium fluoride can act as a fluorinating agent in organic chemistry; an illustrative specialty-chemical maker may use it to introduce

fluorine into an organic molecule. This locates the product in a value chain, but identifies neither TANFAC's customers nor their molecules, process conditions or order economics. Potassium bifluoride and sodium silicofluoride broaden the range, while BF3 is included in the specialty-fluoride capacity grouping. Product pages establish a catalogue, not every end-use, buyer, price or profit contribution.

HFC-32 is the major announced refrigerant-related expansion, but remains separate from established AHF and DHF until commissioning and operating performance are demonstrated. The 2 November 2026 deck states 20,000 TPA capacity at Cuddalore and expected commissioning in Q3 FY27; at 30 September, committed spend was ₹360 crore and actual spend ₹231 crore. Earlier materials differ: FY26/Q4 referred to an approximately ₹495 crore integrated package, while the Q1 call gave ₹390 crore / ₹315 crore committed. These are dated or scoped estimates, not amounts to add. Public materials describe a Japanese customer, an MNC MoU and an air-conditioning/commercial-refrigeration customer; do not infer that the broader Japanese fluorinated-chemical agreement is all HFC-32. R-32 is a lower-GWP alternative to R-410A, not a zero-impact or permanent refrigerant: it remains an HFC exposed to phasedown and transition rules. That makes demand growth a market opportunity with a policy horizon, rather than a simple one-way substitution story.

The HFC-32 commercial story has promise and a boundary. The Q2 deck says agreements and MoUs cover 65% of planned capacity and gives aggregate order value of about ₹3,673 crore. Q1 management described about 65% long-term coverage and a formula-based contracted price near US$5.5/kg at that time; Q4 materials showed 67.5% of proposed capacity. Preserve these dated differences. Management described the relevant contracted tranche as having a fixed EBITDA margin, but realized economics and commissioning remain to be observed. Capacity is not output: production, qualification, delivery, working capital and cash conversion still matter. Contract coverage reduces one uncertainty; it does not remove execution risk.

The revenue split gives you a compass, not a product map. H1 FY27's 75% HF and 25% Sulphuric Acid & Other VAP classification does not mean 75% AHF: it does not disclose individual shares for AHF, ordinary DHF, solar DHF, specialty fluorides or other downstream

products. The 25% also combines sulphuric acid with other value-added products. Nor is this the geographic sales mix: FY26 sales were about 95% domestic and 5% export, while Q1 management described roughly 90%/10%. Geography and product streams answer different questions. Since product and stream profits are unpublished, you cannot identify the highest contribution margin or cash return. Label any finer mix estimate as an analyst assumption, not a reported fact.

Build an operating picture by separating capacity, production, sales, revenue, profit and cash. FY26 figures are historical: sulphuric acid and oleum 100,000 TPA at 101% utilisation; HF 30,000 TPA at 95%; specialty inorganic fluorides 5,000 TPA at 41%; and solar DHF 20,000 TPA. The later 25,000 TPA solar figure follows debottlenecking. Do not sum these capacities into a total plant figure, because HF is also an intermediate in downstream output. A contract value is not delivered volume, and a technical application does not prove profitability.

The strategic wager is to move from an established acid-and-HF base into differentiated downstream grades such as solar DHF and HFC-32. Downstreaming can deepen customer specification relationships and potentially add value per tonne, but it also requires qualification, capex, ramp-up, operating discipline and working capital. New DHF orders, 25,000 TPA current solar capacity and HFC-32 commitments show the transition; a product-level margin bridge is still absent. H1 EBITDA margin was below the prior-year period, and management cited input costs and ramp-up. Growth and a better mix do not guarantee immediate margin expansion. Track what each step proves and what remains unresolved.

Keep the portfolio layered in your mind. Upstream are sulphuric acid and oleum, both external products and part of the site's chemistry platform. The HF layer includes AHF for unnamed industrial and refrigerant-related buyers and diluted HF for uses including glass etching. Downstream sit high-purity solar DHF, specialty inorganic fluorides such as AlF3 and KF, and the new HFC-32 project. Shared infrastructure does not make the products interchangeable, and a logo is not a product attribution. In future results, look for evidence linking the layers to tonnes, revenue, margin, cash and repeat orders. Precision means drawing the boundary, not filling it with guesses.

NARRATOR'S REFLECTION — WHAT THE MIX CANNOT TELL YOU

"A product mix is not a profit mix."

When a presentation gives you a 75% HF stream and a list of impressive downstream products, ask what is measured and what is merely plausible. Can you distinguish disclosed revenue mix from undisclosed product profit? Can you separate a customer logo from a named product order? Write down the missing bridge—tonnes, realization, margin, cash—before you decide how much of the downstream story is already in the numbers.

GLOBAL PARALLEL (US/INDIA/EUROPE) • GLOBAL REFRIGERANTS: USEFUL CONTEXT, NOT A SHORTCUT TO COMPARABILITY

"A global market can validate the category without validating a company's execution."

Use three regional reference points as context, not as a claim of equivalence. In the U.S., Honeywell's commercial arrangement with Arkema expands access to lower-GWP HFO blends under Arkema's Forane brand; that partnership does not establish that TANFAC has Honeywell's customer access or economics. In India, Gujarat Fluorochemicals (GFL) spans fluoropolymers, fluorochemicals, battery chemicals and renewable energy, and its refrigerant portfolio includes R-32; its broader scale and diversification make it an imperfect direct peer. In Europe, Arkema sells Forane®32 (R-32) for air conditioning and heat pumps, with stated GWP of 675/677 and A2L classification. The comparison helps you place TANFAC's HFC-32 ambition in a global market while keeping company-specific execution and policy exposure separate.

- U.S. — Honeywell–Arkema commercial arrangement; not evidence of TANFAC customer access or economics.
- India — GFL is broader and more diversified; its refrigerant portfolio includes R-32.
- Europe — Arkema Forane®32 is R-32 for air conditioning and heat pumps; GWP 675/677, A2L.

MENTAL MODEL — FOLLOW THE CONVERSION LADDER

"Capacity is a rung; cash is the destination."

Read the portfolio as a conversion ladder, then test every rung: inputs → acid/oleum → HF → application-specific products → qualified customer deliveries → cash. Capacity describes the size of a rung, a contract describes a possible route to demand, and neither alone tells you the margin or cash earned. The company's one statutory segment and its 75%/25% H1 revenue-stream split are two different reporting lenses; neither is a product-profit statement.

CHAPTER III

The Route from Rock to Revenue

> *"At the desk, trace every tonne to its source, every rupee to its margin, and every promise to its date."*
>
> — INSTITUTIONAL RESEARCH DESK MAXIM

To understand TANFAC's economics, picture a connected industrial site rather than a catalogue of unrelated chemical products. The company operates one fluorochemicals segment and one manufacturing site at SIPCOT, Cuddalore, Tamil Nadu, on about 60 acres. Its common platform runs from fluorspar and sulphur through sulphuric acid and oleum to hydrofluoric acid (HF), then into selected downstream grades. That integration can create choices in processing and product mix; it does not mean every tonne becomes a high-value specialty product or that each product earns the same margin.

Your first supply-chain question is where the critical mineral enters. TANFAC identifies fluorspar sources including South Africa, Vietnam, Thailand and Kenya, while sulphur is sourced domestically. Fluorspar is the feedstock anchor for the fluorine chain; TANFAC's own sulphuric-acid and oleum capability gives the process an internal acid step. This design can reduce reliance on buying every intermediate as a finished input, but it cannot make the underlying raw materials disappear from the cost base. The audited FY26 accounts still show fluorspar and sulphur among major material costs.

The production sequence matters because economics travel through it. TANFAC makes sulphuric acid and oleum, uses that platform in the HF chain, and converts HF into products such as solar-grade diluted hydrofluoric acid (DHF) and inorganic fluorides. Captive power with waste-heat recovery meets a large share of site energy needs, an operating advantage when power is material to chemical conversion. Yet captive generation is not immunity from energy, freight or process costs: management later cited higher sulphur, power, fuel and freight among factors affecting margins.

Cuddalore's location is part of the operating map. Proximity to Chennai port supports imported raw-material movement and exports of finished products. In practical terms, a

port-adjacent site can connect overseas feedstock origins to a domestic process and then to export customers without requiring the company to disclose a distributor network. The public evidence does not name a list of logistics partners or product-specific export channels. You should therefore treat the port as a useful geographic capability, not as proof of a particular freight saving, delivery route or customer relationship.

Capacity tells you what the site can process; utilization tells you where it is already busy. In FY26, stated capacity and utilization were 100,000 tonnes per annum (TPA) of sulphuric acid and oleum at 101%, 30,000 TPA of HF at 95%, and 5,000 TPA of specialty inorganic fluorides at 41%. The different utilization rates suggest that the constraint is not uniform across the chain. They do not establish product-level profitability, and the specialty-fluoride figure should not be read as a ready-made forecast of demand or future margins.

TANFAC expanded AHF capacity from 14,850 to 30,000 TPA in October 2024, at about ₹100 crore. Solar-grade DHF began at 20,000 TPA in FY26, after two commissioning phases in June and October 2025; by the company's 2 November 2026 presentation, debottlenecking had raised it to 25,000 TPA for ₹47 crore from internal accruals. Keep those dates separate. Downstream grades use the HF stream, so adding every headline capacity together would double-count stages of a connected process.

Distribution begins with the product's physical and quality requirements. AHF is shipped in bulk ISO containers and serves as an input to refrigerants and other fluorinated chemicals. Solar-grade DHF has a different proposition: TANFAC's product page describes trace elements below 10 parts per billion and uses in solar-wafer texturing, cleaning and etching. The latter is a specification-led sale, not merely a higher-volume version of bulk acid. Public material names customers for certain DHF orders, but does not disclose a full route-to-market map, reseller roster or product-specific selling costs.

That missing channel detail is an analytical boundary, not an invitation to fill in names. No public distributor list, non-AHF product price list or product-level margin is available in the evidence. You can describe a generic path—plant, compliant packaging or bulk transport, customer qualification, delivery and invoicing—as a way to think about industrial distribution, but you cannot assign TANFAC an undisclosed intermediary or claim a named

buyer for an unnamed product. The distinction is important: a logo on a company presentation is not proof of a product, period, volume or revenue relationship.

For AHF, management gave a Q1 FY27 realization of ₹275–₹280 per kilogram. Typical AHF arrangements are monthly or quarterly rather than long-term, and raw-material cost pass-through generally lags by 30–45 days. The combination creates a recognizable exposure: when feedstock prices move, selling prices may catch up only after a delay. You should not translate the quoted realization into a company-wide average price or margin; it applies to the stated AHF discussion, and the company does not publish product-level cost curves.

Solar DHF brings a different contract rhythm. TANFAC announced an order worth ₹732 crore excluding GST for Kredence Electronics Materials India, to be executed over 3.5 years through FY2028–29, and a separate ₹336 crore excluding GST supply contract for Krishna Organics through FY2028–29. The company says no additional capex is required for these orders. Together they provide stated order visibility of ₹1,068 crore, but neither customer-side process details nor a pricing formula is disclosed. Order value is not the same thing as recognized revenue, cash collected or profit.

A separate seven-year fluorinated-chemicals agreement illustrates why careful attribution matters. TANFAC's 12 January 2026 release leaves the Japanese counterparty unnamed; the identity is not public in the cited evidence, so you must leave it unnamed too. The release states 7,500 TPA, estimated annual value of ₹337.5 crore, total value of about ₹2,362 crore over seven years, and effectiveness from 1 January 2027. TANFAC described the volume as 37.5% of the planned 20,000 TPA downstream plant. Do not infer that the entire contract is HFC-32: the release says fluorinated chemicals.

Contract disclosures for HFC-32 are related but not interchangeable with that unnamed Japanese deal. Q1 FY27 management said long-term agreements covered about 65% of HFC-32 capacity; the contracted price was approximately US$5.5 per kilogram at the time and formula-based, with management describing that tranche as a fixed EBITDA-margin contract. Q4 materials had shown 67.5% of proposed capacity, a dated difference to preserve rather than average away. The Q2 deck later described agreements and MoUs covering 65% of capacity. Do not combine these milestones as if they were one unchanged contract schedule.

Now separate three percentages that answer three different questions. FY26 audited sales were ₹668.14 crore domestic and ₹35.83 crore exports—roughly 95% domestic and 5% export by geography. In Q1 FY27, management described the then-current geographic mix as about 90% domestic and 10% export, and expected about 50/50 after HFC-32 commissioning. That was a forward-looking management statement, not FY26 actuals. It describes where sales go; it says nothing by itself about which product generated them or their margins.

A later presentation adds a third, separate lens. TANFAC's Q2 FY27 investor deck reports H1 FY27 revenue streams as 75% Hydrofluoric Acid and 25% Sulphuric Acid & Other Value Added Products. This is an H1 operating-stream split, not a geographic split and not a formal statutory segment breakdown. The FY26 annual report says the company has one reportable segment, Fluoro-Chemicals in India, and product-level profit is not separately reported. You should not relabel the 75/25 as export/domestic, nor infer that either stream's share of revenue equals its share of profit.

Here is the audited FY26 ₹100 revenue waterfall, using only ratios reported in the evidence. Start with ₹100 of revenue. The reported operating EBITDA margin leaves ₹15.76 as operating EBITDA; the reported PAT margin leaves ₹9.86 as profit after tax. Those are the two exact per-₹100 margins supplied. The audited rupee totals were revenue ₹711.074 crore, gross profit ₹266.341 crore, EBITDA ₹112.064 crore, PBT ₹92.638 crore and PAT ₹70.143 crore. Because the evidence does not supply gross-profit or PBT margins, do not invent normalized intermediate slices. The picture is intentionally honest about what is and is not measured.

The waterfall also needs a cash footnote. FY26 CFO was ₹43.401 crore, or 61.9% of PAT on the reported conversion measure. Working-capital adjustments were negative ₹52.844 crore; PPE and construction-in-progress cash purchases were ₹82.449 crore, leaving free cash flow of negative ₹39.048 crore after that spend. This is why accounting profit, order visibility and cash available for reinvestment are separate ledgers. The annual report gives an average customer credit period of about 54 days and a 91-day working-capital cycle. Do not claim that those measures improved in H1 without verified comparable data.

For a cross-region reference, use examples to sharpen the category, not to imply equivalence. In the United States, Honeywell's commercial arrangement with Arkema expands access to lower-global-warming-potential HFO blends under Arkema's Forane brand; it does not establish TANFAC-like captive AHF economics. In Europe, Arkema Forane 32 is R-32 used for air conditioning and heat pumps. In India, Gujarat Fluorochemicals spans fluoropolymers, fluorochemicals, battery chemicals and renewable energy, and its refrigerant portfolio includes R-32. GFL is more diversified and is not a direct valuation peer.

The strategic tailwind is therefore conditional. HFC-32 can serve air-conditioning demand as the market transitions from higher-GWP refrigerants, but R-32 remains an HFC, with cited GWP around 675/677; it is not zero-emission or a permanent regulatory endpoint. U.S. HFC phasedown guidance and the EU's updated fluorinated-gas rules are reminders that a growing product can still carry transition risk. For TANFAC, the useful question is not simply whether demand exists: it is whether contracts, commissioning, feedstock pass-through, utilization and cash collection convert that demand into durable returns.

At your desk, keep four ledgers open: raw-material access, conversion capacity, customer commitments and cash realization. Cuddalore's integrated chain and port proximity are real operational assets; high FY26 utilization in acid and HF makes the constraints worth watching; DHF contracts and HFC-32 arrangements offer visibility, but not automatic margin certainty. Date each mix, price and capacity claim before comparing it with another. Above all, leave unnamed counterparties unnamed and keep revenue, EBITDA, PAT and cash flow distinct. That discipline is how you turn a compelling industrial story into a testable unit-economics case.

> **NARRATOR'S REFLECTION — FROM ORDER TO CASH**
>
> *"You see the largest order in the deck."*
>
> What evidence would tell you whether it is becoming profitable cash—recognized revenue, realized price, working-capital absorption, or customer concentration—and which of those facts is still undisclosed?

GLOBAL PARALLEL (US/INDIA/EUROPE) • GLOBAL EXAMPLES, NOT ECONOMIC PROXIES

"Compare the category, not the economics."

Honeywell's U.S. arrangement with Arkema widens access to lower-GWP HFO blends; Arkema's European Forane 32 is R-32 for cooling and heat pumps; India's GFL combines fluorochemicals with several other businesses. None proves TANFAC's costs, customer identity or margins.

MENTAL MODEL — FOUR GATES FROM FEEDSTOCK TO CASH

"Secure feedstock → convert efficiently → qualify and contract the product → collect cash."

A weakness at any gate can absorb the apparent value created at the previous one. Treat geography, product-stream mix and profit mix as different dashboards; only the first two are partially disclosed here, while product-level profit remains unpublished.

CHAPTER IV

The Moat Inside the Molecule—and the Fragility Around It

> *"A moat is not the wall you build; it is the distance a rival must cross while you keep learning."*
>
> — INSTITUTIONAL RESEARCH DESK MAXIM

Start with the chemistry and the operating burden. Hydrofluoric acid is a hazardous, corrosive material; handling, containment, process discipline and trained operators are central to making it safely and consistently. Those requirements can create a barrier to casual entry, but they are not proof that TANFAC has an unassailable safety or cost advantage. The evidence pack does not provide a comparative safety record, detailed process yields, or a quantified cost curve. So you should treat the barrier as a demanding operating capability that must be maintained, not as a certificate of superior execution. If the site's systems, people or maintenance falter, the same hazard that discourages entrants can magnify the consequences for the incumbent.

The captive-acid and power configuration strengthens the industrial logic. TANFAC's platform converts sulphur into sulphuric acid and oleum, then uses those intermediates in its HF chain; waste-heat recovery and captive power meet a large share of site energy needs. You can read this as an integration advantage: fewer external hand-offs, potential control over intermediate availability, and a way to make use of process energy. But integration is not a free hedge. A disruption at one point can travel through connected steps, and a plant running close to rated capacity may have limited slack. In FY26, sulphuric acid and oleum capacity of 100,000 tonnes per year ran at 101%, while HF capacity of 30,000 tonnes ran at 95%. Those figures point to a busy system, not to an independently verified cost advantage.

The clearest differentiated product opportunity is solar-grade diluted hydrofluoric acid. TANFAC describes the grade as having trace elements below 10 parts per billion and identifies wafer texturing, cleaning and etching as applications. For a solar-cell manufacturer, impurities are not decorative details; process chemistry has to meet a production specification. That creates the possibility of a qualification moat: once a buyer has tested and

approved a grade in a process, switching may require time and validation. But that is an industry mechanism, not a disclosed TANFAC customer fact. The pack does not reveal qualification duration, rejection rates, customer switching costs, price premiums or process recipes. The sensible conclusion is that purity and application knowledge can support differentiation, while the depth and durability of the customer lock-in remain unproven publicly.

The commercial evidence is more concrete than the moat evidence. TANFAC disclosed a ₹732 crore, ex-GST order for solar-grade DHF from Kredence Electronics Materials India and a separate ₹336 crore, ex-GST supply contract with Krishna Organics, both running through FY2028–29. The combined ₹1,068 crore visibility is meaningful, and the Kredence release says the 3.5-year execution requires no additional capex. You should not turn those facts into a claim about guaranteed margins: pricing formulas, customer-side process details and realized product profitability are not disclosed. Nor should you assume the old capacity denominator still applies. Solar-grade DHF stood at 20,000 tonnes per year at FY26 close; by the 2 November 2026 presentation, debottlenecking had lifted stated capacity to 25,000 tonnes per year for ₹47 crore from internal accruals. Contract coverage against that updated capacity has not been published.

Feedstock is the counterweight to the integration story. Fluorspar is sourced from suppliers including South Africa, Vietnam, Thailand and Kenya, while sulphur is sourced domestically. The company's proximity to Chennai port supports import and export logistics, but it does not erase exposure to international availability, freight, currency or working-capital timing. In FY26, raw and packing materials cost ₹453.47 crore; fluorspar alone was ₹313.44 crore and sulphur ₹104.62 crore. Management said raw-material pass-through generally carries a 30–45 day lag. That lag can matter when input costs move quickly: a contractual or market repricing may not appear in the selling price at the same moment as the cost. FY26 working capital absorbed ₹52.84 crore in cash-flow adjustments, and the annual report cited an average customer credit period of about 54 days and a 91-day working-capital cycle. You should therefore assess procurement resilience and cash conversion alongside gross margin.

A different question is whether every downstream product has found its place. Specialty inorganic fluorides—including aluminium fluoride, potassium fluoride, potassium bifluoride,

boron trifluoride and sodium silicofluoride—had FY26 capacity of 5,000 tonnes per year and utilization of 41%. That leaves operating headroom, but spare capacity is only an option if demand, qualification and economics justify using it. Aluminium fluoride is used as a make-up ingredient in molten electrolyte in aluminium reduction cells; potassium fluoride is used as a fluorinating agent in organic chemistry. Those applications explain why a portfolio can serve different industrial needs, but they do not establish named buyers, realized prices or attractive margins for TANFAC. You should regard the low utilization as a utilization and market-development challenge, not as proof that the products are obsolete—or as hidden earnings waiting to appear.

Competition makes the distinction between capability and moat essential. The evidence pack includes Indian fluorochemical companies such as Navin Fluorine, SRF and Gujarat Fluorochemicals in its market screen, and GFL's report describes a broader platform spanning fluoropolymers, fluorochemicals, battery chemicals and renewable energy. Their breadth is a reminder that TANFAC competes in an ecosystem where scale, product mix, capital and customer access can matter. But the evidence does not provide comparable product-level economics or a like-for-like competitor capacity table, so you should not infer a league table from company names. TANFAC's narrower integrated chain may be valuable in selected grades; a larger or more diversified rival may have different resilience and investment options. The competitive test is not who has the longest product list, but who can qualify, supply and earn acceptable returns in the specific application.

HFC-32 brings both a growth option and a transition clock. The company's 2 November presentation listed 20,000 tonnes per year of planned HFC-32 capacity, with commissioning expected in Q3 FY27; at 30 September it showed ₹360 crore committed and ₹231 crore spent. The same presentation described agreements or memoranda covering 65% of capacity and aggregate order value of about ₹3,673 crore. Earlier materials differ in project-cost estimates and in the dated description of contracted capacity, so you should use each figure with its date and scope rather than combine them. Q1 management described a formula-based contracted tranche and a price around US$5.5 per kilogram at that time; that is a dated disclosure, not a guaranteed future realization. Importantly, HFC-32 is still an HFC, with a global-warming potential around 675–677. It may be lower-GWP than R-410A, but it is not climate-neutral or a permanent regulatory safe harbour.

The regulatory direction is visible in both the United States and Europe. U.S. EPA guidance covers the HFC phasedown, and EU Regulation 2024/573 adds transition pressure for fluorinated greenhouse gases. The precise effect on any customer, product and contract depends on rules and market adoption; the evidence does not let you forecast a simple deadline for TANFAC's HFC-32 sales. For you, the underwriting question is whether the new plant can be commissioned, qualified and operated economically while demand remains supportive—and whether the company can adapt its fluorine platform as refrigerant preferences change. An offtake agreement can reduce demand uncertainty, but it cannot repeal regulation or substitute for verified plant performance.

Your conclusion should be neither that TANFAC has no moat nor that chemistry makes it untouchable. Integration, hazardous-process capability, stated solar-grade purity and named multi-year DHF orders are credible building blocks. They become durable only if you see safe, consistent delivery, retained qualifications, secure inputs, cash conversion and returns on capital. Against them stand one manufacturing site, imported fluorspar, limited public proof of customer stickiness, low specialty-fluoride utilization, undisclosed product margins and refrigerant transition. Call it a conditional operating advantage: tangible, but not yet proven in its most consequential economics.

NARRATOR'S REFLECTION — WHAT WOULD PROVE THE MOAT?

"Which evidence is observable, and which is still an assumption?"

When you see an order or capacity figure, ask what proves a moat: repeat orders, retained qualification, safe operation, profitable utilization and cash collected.

GLOBAL PARALLEL (US/INDIA/EUROPE) • GLOBAL EXAMPLES, DISTINCT ECONOMICS

"A shared industry is not a shared business model."

United States: Honeywell's arrangement with Arkema expands access to lower-GWP HFO blends under Forane . India: GFL's FY26 report covers a broader platform that includes fluorochemicals and R-32 . Europe: Arkema Forane 32 is R-32 for air conditioning and heat pumps, A2L, GWP 675/677 . These are not TANFAC-equivalent economics.

MENTAL MODEL — THE TWO-GATE CHAIN

"Integration is the first gate; profitable customer adoption is the second."

Can hazardous chemistry, captive intermediates, energy and imported feedstock flow reliably through one site? Can each grade be qualified, sold profitably and converted into cash before technology or regulation shifts? Concentration, pass-through lag, low specialty utilization and HFC transition can weaken both gates.

CHAPTER V

The Operating Scorecard: Capacity, Conversion and Cash

> *"A capacity figure is a promise; a margin is the receipt."*
>
> — INSTITUTIONAL RESEARCH DESK MAXIM

Use an operating chain, not a capacity headline: installed capacity, throughput, customer qualification, contract conversion, gross profit, EBITDA, PAT and cash. TANFAC's disclosures document some links but leave others unmeasured. Your task is to distinguish management's expectations from tonnes produced, shipped and paid for.

Keep utilization dated. FY26 sulphuric acid/oleum capacity was 100,000 TPA at 101% utilization; HF was 30,000 TPA at 95%; specialty inorganic fluorides were 5,000 TPA at 41%. The first two streams were running hard, while specialty fluorides had more headroom. These are FY26 measures, not a current H1 FY27 utilization report.

Do not add downstream capacity to HF: HF feeds downstream grades and products. Solar-grade DHF was 20,000 TPA at FY26 close; the 2 November deck says debottlenecking lifted it to 25,000 TPA after ₹47 crore capex. That is expanded nameplate capacity, not proof of saleable output, qualification or utilization.

DHF demand is backed by named orders: ₹732 crore, excluding GST, from Kredence Electronics Materials India and ₹336 crore from Krishna Organics, both through FY2028–29. Together, ₹1,068 crore is order visibility; management says the Kredence order needs no additional capex. The disclosures give no qualification milestones, shipment schedule, price formula or updated coverage of 25,000 TPA. Count opportunity, not guaranteed revenue or product margin.

HFC-32 is a planned 20,000-TPA Cuddalore line. Q2 says agreements and MoUs cover 65% of capacity, with aggregate order value about ₹3,673 crore; Q4 materials cited 67.5%, while Q1 management said roughly 65%. Preserve the dates. Q1 management described one covered tranche at roughly $5.5/kg, formula-based and a fixed-EBITDA-margin contract; that is management's characterization, not a disclosed audited product margin. The

unnamed Japanese customer's 7,500-TPA fluorinated-chemicals contract is not proof all tonnes are HFC-32; an MoU is not dispatched sales.

In July, management guided to at least 30% FY27 revenue growth and over 60% in FY28. H1 revenue was ₹417.7 crore, +21.2%; Q2 revenue ₹230.5 crore, +36.6%. At exactly 30% growth on FY26 revenue of ₹711.074 crore, FY27 sales would be about ₹924.4 crore, leaving roughly ₹506.7 crore for H2 after H1. Q2's growth is encouraging, but does not settle the full-year target. FY28's higher growth guide is a separate forward target, not evidence that the FY27 margin hurdle has been met.

Profitability sets the sharper test. The July FY27 guide was 21–22% EBITDA margin, with 25% after HFC-32 becomes operational. H1 EBITDA was ₹60.6 crore on ₹417.7 crore sales (14.4%); Q2 was ₹31.1 crore on ₹230.5 crore (13.3%). Under exactly 30% sales growth, reaching the annual guide implies H2 EBITDA margin of about 26.4–28.2%, midpoint 27.3%. This is analyst arithmetic, not management's H2 forecast; a different sales outcome changes it.

The Q1 call also forecast 16–19% EBITDA margin from the following quarter onward; Q2's 13.3% missed that near-term range. The November deck expects stronger H2, but gives no numeric replacement. The implied recovery is steep, without a quantified bridge from mix, utilization, pricing, costs or HFC-32. Do not present the hurdle as management's stated H2 target.

Separate EBITDA from PAT. H1 EBITDA rose 5.6% to ₹60.6 crore, while PAT fell 1.6% to ₹35.9 crore. In Q2, EBITDA rose 13.1% to ₹31.1 crore and PAT 10.5% to ₹19.0 crore. Financing, depreciation, tax and other items affect the difference. FY26 EBITDA of ₹112.064 crore and PAT of ₹70.143 crore were both below FY25 despite record revenue.

Management said H1 AHF gross profit per tonne was broadly stable while gross-margin percentage declined, citing higher realizations, sulphur, new-product ramp-up, and power, fuel and freight. Q1 AHF realization was ₹275–₹280/kg; contracts are usually monthly or quarterly. No numeric H1 gross-profit-per-tonne series is published, so 'broadly stable' remains a qualitative management claim.

Raw-material cost pass-through typically lags 30–45 days, management says. Rising input costs can therefore squeeze margins before prices reset, even if the eventual unit spread holds. The needed recurring evidence—realization, input cost and gross profit per tonne by product—is not disclosed. Audited accounts report one Fluoro-Chemicals segment; the H1 75% HF /25% sulphuric acid and other VAP split is a revenue-stream view, not formal segment reporting or profit mix.

Keep capex scopes separate. Solar DHF's ₹47 crore debottleneck, internally funded, raised stated capacity from 20,000 to 25,000 TPA. For HFC-32, the Q2 deck reports ₹360 crore committed and ₹231 crore spent at 30 September. Older FY26/Q4 materials describe an approximately ₹495-crore integrated package; Q1 refers to ₹390 crore and ₹315 crore committed. Disclosures do not reconcile these dated estimates/scopes. Do not add them or silently treat them as one schedule.

HFC-32 commissioning was expected in Q3 FY27. At H1, disclosed spend is not proof of commissioning, qualified production, sustained utilization or the 25% post-start-up margin. Track completion, commissioning, stable output, customer acceptance, dispatches and cash receipts separately. The Japanese contract covers unnamed fluorinated chemicals; do not map every announced order value to HFC-32 or H1 revenue.

Customer qualification remains an underreported gate. The deck's logos span several end markets but do not map every company to a product, period or revenue share. Named DHF orders identify two customers, yet public materials give no process-qualification status or dispatch curve. Ask for qualified customers by product, time to first shipment, repeat-order rates and the share of new capacity already shipping. A logo is not recurring tonnes.

FY26 average customer credit was about 54 days and the working-capital cycle 91 days. A ₹52.844-crore working-capital outflow reduced ₹117.244 crore operating profit before WC changes to ₹64.401 crore cash generated; CFO was ₹43.401 crore against ₹70.143 crore PAT. PPE/CWIP cash purchases were ₹82.449 crore, so CFO less that spend was –₹39.048 crore; CFO/PAT conversion was 61.9%.

For H1, TANFAC says higher fluorspar inventory was matched by higher payables, but provides no standalone cycle series proving improvement. It reports ₹135.6 crore gross

borrowings, ₹0.8 crore lease liabilities, ₹99.1 crore cash, ₹59.9 crore investments and ₹9.4 crore other bank balances. Management labels net debt negative when liquid investments and cash are available. Show the components; 'net-debt negative' does not mean gross borrowings are zero.

Your scorecard should connect current utilization, DHF tonnes shipped against 25,000 TPA, customer-level order conversion, gross profit per tonne and the 30–45-day lag, HFC-32 capex and verified commissioning, and working-capital days with CFO. Several series are undisclosed. Treat that gap as a limit on verification, not as evidence that targets have been met.

Use global names as context, not direct comparables. Arkema Forane 32 is R-32 for AC and heat pumps (GWP 675/677, A2L); Honeywell's arrangement expands access to Arkema's lower-GWP HFO blends. India's GFL is larger and more diversified, spanning fluoropolymers, fluorochemicals, battery chemicals and renewable energy, and includes R-32. R-32 is lower-GWP than R-410A but remains an HFC subject to transition risk—not a zero-emission or permanent solution.

Your verdict is conditional: TANFAC has high FY26 utilization in HF and sulphuric acid, expanded DHF capacity with disclosed orders, and contracted HFC-32 capacity. Yet H1 margins did not reach the prior near-term range, and the annual guide implies a high H2 hurdle under 30% growth. Let tonnes, customer acceptance, unit profit, commissioning and cash conversion—not capacity labels—confirm operating leverage.

> **NARRATOR'S REFLECTION | MAKE THE CLAIM MEASURABLE**
>
> *"A KPI without a date is not a trend."*
>
> When a KPI is disclosed only as a dated target or qualitative claim, what additional number would let you verify it next quarter? Prefer a measurable bridge—tonnes, margin, capex milestone or cash conversion—to another adjective such as 'stronger.'

GLOBAL PARALLEL (US/INDIA/EUROPE) • THE REFRIGERANT TRANSITION IS GLOBAL; ECONOMICS ARE LOCAL

"A changing molecule does not guarantee a changing margin."

Arkema's Forane 32 is R-32 for air conditioning and heat pumps; Honeywell's commercial arrangement broadens access to Arkema's lower-GWP HFO blends; India's GFL is a larger, more diversified fluorochemicals and refrigerants producer that also lists R-32. Use these as market context, not as direct peers or evidence that TANFAC shares their economics. R-32 remains an HFC with transition risk.

- EUROPE – Arkema Forane 32 is R-32, GWP 675/677 and A2L.
- US / EUROPE – Honeywell's arrangement expands access to Arkema's lower-GWP HFO blends.
- INDIA – GFL includes R-32 in a broader, more diversified portfolio; it is not a direct TANFAC peer.

MENTAL MODEL | SIX GATES FROM CAPACITY TO CASH

"A missing gate is not a completed gate."

Follow every growth claim through six gates. A missing disclosure is not proof of failure, but it is a reason not to count the next stage as achieved.

- Capacity → qualified customer → shipped tonnes
- Gross profit per tonne → EBITDA → operating cash after working capital and capex

CHAPTER VI

The Decade Behind the Earnings

> *"Growth is a claim about the future; cash is the record the business leaves behind."*
>
> — INSTITUTIONAL RESEARCH DESK MAXIM

To judge TANFAC, do not begin with its latest growth rate. Begin with the uneven path that produced it. From FY15 through FY26, sales rose from ₹120 crore to ₹711 crore, but the route was not a smooth compounding line: sales slipped from ₹133 crore in FY16 to ₹126 crore in FY17, reached ₹222 crore in FY19, fell to ₹148 crore in FY21, then stepped up to ₹320 crore in FY22. Its recent scale is real, but one strong year cannot by itself establish a stable earnings engine.

The profit record is even more revealing. PAT moved from a ₹5 crore loss in FY15 to ₹36 crore in FY19, then returned to ₹17 crore in each of FY20 and FY21. As sales surged to ₹320 crore in FY22, PAT reached ₹53 crore; it was ₹56 crore in FY23 and ₹52 crore in FY24. FY25 then brought ₹88 crore, followed by ₹70.143 crore in FY26. It is a cyclical and changing-margin record in which volumes, realizations, input costs and capacity additions all matter.

Operating margin helps you see those cycles. The historical series ranges from 7% in FY15 and FY16 to 24% in FY19, 16% in FY20, 22–24% in FY21–FY22, then 20% in FY23 and 19% in FY24. It returned to 24% in FY25 before easing to 16% in FY26. TANFAC reported record FY26 revenue, but EBITDA was ₹112.064 crore against ₹128.864 crore in FY25, and PAT was ₹70.143 crore against ₹88.147 crore. Record sales therefore coexisted with lower earnings.

The platform offers a plausible operating explanation, not a guarantee of smooth results. Fluorspar and sulphur feed an integrated chain that includes in-house sulphuric acid and oleum, hydrofluoric acid and downstream products. TANFAC's FY26 annual report identifies one reportable segment, 'Fluro-Chemicals in India'; it does not disclose product-level profit. The H1 FY27 presentation's 75% hydrofluoric-acid and 25% sulphuric-acid-and-

other-value-added-products split is a management revenue-stream view, not a formal segment or margin breakdown. Product-level profitability remains undisclosed.

FY26 gives you a useful, audited cash-conversion test. Revenue was ₹711.074 crore, operating EBITDA ₹112.064 crore and PAT ₹70.143 crore. Cash from operations was ₹43.401 crore, equal to 61.9% of PAT on the reported conversion measure. The FY25 historical series lists CFO of ₹33 crore against audited PAT of ₹88.147 crore; FY26 audited CFO was ₹43.401 crore against PAT of ₹70.143 crore. That is positive cash generation, but it is not full conversion of accounting profit into operating cash. EBITDA is before items such as interest, tax, depreciation and working-capital movement; PAT is after several of those charges, while CFO also reflects whether cash is tied up in customers, inventory and suppliers.

The audited bridge shows where FY26 cash went. Operating profit before working-capital changes was ₹117.244 crore. Working-capital adjustments reduced that by ₹52.844 crore, leaving ₹64.401 crore of cash generated from operations; after ₹21.000 crore of tax paid, CFO was ₹43.401 crore. The working-capital drag was substantial relative to reported cash generation. This bridge shows why FY26 profit and operating cash diverged.

Then compare operating cash with investment. TANFAC spent ₹82.449 crore in cash on property, plant and equipment, including construction in progress. CFO less that PPE cash spend was negative ₹39.048 crore in FY26. Read this as a funding fact: internally generated operating cash did not cover the disclosed PPE cash outlay for the year. It is not a claim that every rupee of capex was discretionary, nor that FY26's cash-flow pattern will repeat. The company had recently expanded anhydrous hydrofluoric-acid capacity and commissioned solar-grade diluted hydrofluoric acid capacity; the published record therefore needs to be read alongside a period of investment.

The decade-long cash series prevents you from mistaking FY26 for either an isolated failure or a permanent state. CFO was positive in every listed fiscal year, ranging from ₹9 crore in FY15 to ₹44 crore in FY22, while FCF was positive through FY23, turned to negative ₹2 crore in FY24, then reached negative ₹64 crore in FY25 and negative ₹39 crore in FY26. The latest two negative FCF years differ from the earlier pattern, though the series does not identify each year's capex cause.

Working capital deserves special care because TANFAC's inputs are not incidental purchases. FY26 raw and packing material cost was ₹453.47 crore, including ₹313.44 crore of fluorspar and ₹104.62 crore of sulphur. The annual report gives an average customer credit period of about 54 days and a working-capital cycle of 91 days. Those are FY26 reported measures, not proof of an improvement in the current cycle. Fluorspar supply, customer terms and the timing of shipments can all influence the cash tied up between purchase and collection.

The H1 FY27 presentation adds an important qualification: it says the increase in fluorspar inventory was matched by higher trade payables. That pairing can finance a bulk raw-material purchase through supplier credit while the inventory is held; it should not be described as a cash windfall or as funded entirely by new borrowing. It also does not eliminate the working-capital exposure. Inventory still has to be processed and sold, and payables still have to be settled. For you, the useful question is whether inventory, customer collections and supplier terms remain aligned as volumes rise—not whether one quarter's inventory number moved up or down in isolation.

The H1 FY27 income statement shows growth without a corresponding margin expansion yet. Revenue was ₹417.7 crore versus ₹344.7 crore, up 21.2%; EBITDA was ₹60.6 crore versus ₹57.4 crore, up 5.6%, while EBITDA margin eased to 14.4% from 16.6%. PAT was ₹35.9 crore against ₹36.5 crore. In Q2 alone, revenue was ₹230.5 crore versus ₹168.7 crore, up 36.6%; EBITDA was ₹31.1 crore versus ₹27.5 crore, up 13.1%; PAT was ₹19.0 crore versus ₹17.2 crore, up 10.5%. The EBITDA margin was 13.3%, compared with 16.2% in the prior-year quarter. The figures are from the company's presentation. They show that higher sales had not, by H1, translated into better margin or higher half-year PAT.

Management's explanation is consistent with the cost sensitivity of the chain: it said AHF gross profit per tonne was broadly stable, while gross-margin percentage was lower because of higher realizations, sulphur, new-product ramp-up, and power, fuel and freight. Higher realizations can increase reported revenue while diluting a percentage margin if costs or product mix rise too. This does not establish which factor will dominate next. It does tell you not to treat revenue growth alone as evidence that incremental sales carry the same economics as established production.

The balance sheet has more liquidity after the June 2026 QIP, but 'debt-free' needs a definition. At September 2026, reported gross borrowings were ₹135.6 crore: ₹66.1 crore non-current and ₹69.5 crore current. Lease liabilities were another ₹0.8 crore. The company presentation lists cash of ₹99.1 crore, investments of ₹59.9 crore and other bank balances of ₹9.4 crore. TANFAC's slide labels net debt as negative when cash and liquid investments are treated as available. You should retain the components alongside that label, because cash-only net debt, net debt after investments, and net debt including leases are different measures.

A practical reading has three cases. First, gross borrowings alone show contractual borrowing before cash offsets. Second, a cash-only view offsets borrowings with reported cash but leaves investments and other bank balances outside the offset. Third, a broader liquid-resource view also offsets investments and, if they are unrestricted and available, other bank balances; adding lease liabilities to borrowings gives a lease-inclusive measure. The evidence provides the components but not a single reconciled table establishing which investments or bank balances are immediately available. So compare definitions, do not silently choose the most flattering one. The company's 'negative net debt' label is a management presentation, not a reason to erase gross debt or lease obligations.

Equity financing is part of the balance-sheet story. TANFAC raised ₹250 crore through a QIP in June 2026 and about ₹100 crore through a preferential issue in September; promoter Anupam Rasayan contributed ₹60.9 crore to the latter. These are share issues, not sales, EBITDA or CFO. They bring capital into the company while increasing the share base and diluting existing holders' proportional ownership unless they participate. The disclosed evidence does not provide the issue share counts here, so no precise dilution percentage should be inferred. Promoter ownership was reported at 48.98% in September 2026.

Keep the 2026 2:1 share sub-division separate from those issues. A split changes the number and face denomination of shares, not the underlying ownership value by itself; the FY26 audited EPS and historical share figures are restated accordingly. New QIP and preferential shares, by contrast, are fresh equity. A reader comparing historical per-share data with post-issue figures must check whether a number is split-adjusted and whether it reflects the

enlarged share count. The two events can sit close together in a timeline while having entirely different economic effects.

Expansion financing is not finished merely because the balance sheet has substantial liquidity. The HFC-32 project's November 2026 presentation reports ₹360 crore committed and ₹231 crore spent as of 30 September, with commissioning expected in Q3 FY27. Earlier company materials used different package or commitment estimates—about ₹495 crore in FY26/Q4 materials and ₹390 crore committed at the Q1 call—so those dated amounts should not be combined into one project budget. Future cash generation must carry both the operating cycle and the remaining investment needs. No discount rate or cost-of-capital conclusion is necessary to see the immediate test: commissioned capacity must convert into collected cash after costs and investment.

Your overall reading should therefore be balanced. TANFAC has a decade of positive CFO, a recent record revenue year, a vertically connected production base and fresh equity capital. Against that, the historical margins and profits fluctuate, FY26 CFO converted 61.9% of PAT, PPE cash spending exceeded CFO, and FCF was negative in FY25 and FY26. H1 FY27 sales grew while margin and PAT did not. The September balance sheet includes both liquidity and gross borrowings, and its apparent net-debt position changes with the definition. The next proof point is not merely another capacity announcement; it is sustained margins, working-capital discipline and cash conversion after the expansion cycle.

> **NARRATOR'S REFLECTION — FOLLOW THE CASH**
>
> *"Profit is not the same as cash."*
>
> As you read the next results, trace three links: operating profit to CFO, working capital to cash absorbed or released, and CFO to PPE spending. FY26's bridge gives you a concrete comparison; the next period may differ.

GLOBAL PARALLEL (US/INDIA/EUROPE) • DIFFERENT PORTFOLIOS, DIFFERENT ECONOMICS

"Lower-GWP does not mean zero-impact or permanent."

Honeywell's arrangement with Arkema expands access to lower-GWP HFO blends under Forane. Arkema Forane 32 is R-32, with reported GWP 675/677 and A2L classification. India's GFL includes R-32 in a broader portfolio spanning fluoropolymers, fluorochemicals, battery chemicals and renewable energy. These are industry context, not direct operating or valuation comparables.

MENTAL MODEL — THREE BALANCE SHEETS IN ONE

"Net debt is a definition, not a single fact."

Keep gross borrowings and leases visible; then distinguish cash-only net debt from a broader view that also counts investments and eligible bank balances. Availability matters. Report the components before repeating one net-debt label.

CHAPTER VII

Why the Stock Trades Here — Market Expectations vs. Peers

> *"A price is a forecast written in the present tense."*
>
> — INSTITUTIONAL RESEARCH DESK MAXIM

Separate the observed price from the story attached to it. The verified 6 November 2026 market-session close was ₹3,415.95. An 8 November stock snapshot instead showed ₹3,431.90, a different date/provider observation. Use ₹3,415.95 for exact-date claims; label current multiples as 8 November vendor snapshots. For market-cap comparisons, provider/share-count variance means precision should not be mistaken for one canonical capitalization.

The market-data feeds also disagree on present capitalization. TradingView's 8 November snapshot gives P/E 101.77x, P/B 10.08x and market capitalization ₹7,564.61 Cr; Screener's same-day page gives P/E 107x and capitalization ₹7,424 Cr. The close-based capitalization proxy is approximately ₹7,378 Cr, while the Reverse DCF uses ₹7,378.45 Cr. These values come from different providers and share-count conventions; report them as separate snapshots, not an averaged point estimate. The analyst scenario bands and Reverse DCF are model outputs, not vendor observations.

The fiscal-year P/E sequence is 28.53x in FY23, 44.80x in FY24, 32.65x in FY25 and 71.79x in FY26; the current TradingView snapshot is 101.77x. Historical multiples divide split-adjusted March prices by audited, restated EPS. The current multiple is a vendor snapshot, not another fiscal-year-end calculation. Because the series crosses the 2026 two-for-one share subdivision, keep the historical EPS restated and prices split-adjusted.

The price history helps explain why growth attracts attention, but it does not guarantee another leg. Split-adjusted March closes were ₹802.88 in FY23, ₹1,178.15 in FY24, ₹1,442.32 in FY25 and ₹2,524.15 in FY26. The reported moves were +415.2% from December 2020 to December 2021, +460.5% from December 2021 to December 2024, +6.6% in calendar 2025, and about +66% from December 2025 to 6 November 2026. These

are price-history observations, not operating returns; the Yahoo series is not dividend-adjusted.

FY26 audited results are a historic baseline, not the current run-rate. Revenue reached a record ₹711.074 Cr, while operating EBITDA was ₹112.064 Cr at a 15.76% margin and PAT ₹70.143 Cr. FY25 EBITDA and PAT had been ₹128.864 Cr and ₹88.147 Cr: sales rose as profitability normalized. FY26 CFO was ₹43.401 Cr, PPE/CWIP cash purchases ₹82.449 Cr and free cash flow after that spend –₹39.048 Cr. EBITDA and FCF answer different questions: the latter reflects cash consumed by the year's investment. The high multiple therefore capitalizes improvement not yet demonstrated in recent cash yield.

H1 FY27 revenue from operations was ₹417.7 Cr, up 21.2%; EBITDA ₹60.6 Cr, up 5.6%; EBITDA margin 14.4% versus 16.6%; PAT ₹35.9 Cr versus ₹36.5 Cr. Q2 revenue grew 36.6% and EBITDA 13.1%, but margin was 13.3% against 16.2%. Management cited higher sulfur, new-product ramp and power, fuel and freight among pressures, while AHF gross profit per tonne remained broadly stable. Quarterly growth may be lumpy; watch margin and cash absorption as well as sales. These are Q2/H1 presentation figures, not audited annual results or product-level profitability.

Keep the valuation tools separate because they answer different questions. The historical P/E series describes the price paid relative to reported, restated earnings at each March close. The peer P/E screen compares current vendor ratios, with imperfect alignment of definitions and business mix. Analyst price bands ask what could happen over twelve months under selected cases; the Reverse DCF asks what long-run growth is required under selected cash-flow margins and discount assumptions. None validates another by itself. A high peer multiple does not prove TANFAC deserves one, and a reverse-engineered growth rate is not a forecast. Their value is triangulation: distinguish what is observed, what is modeled, and where evidence must improve.

Management's July targets help explain the growth premium: at least 30% FY27 revenue growth, over 60% in FY28, 21–22% FY27 EBITDA margin and 25% after HFC-32 is operational. It also forecast 16–19% EBITDA margin from the following quarter onward. The later presentation reports H1 margin of 14.4%, Q2 at 13.3%, and expects a stronger H2. Evidence-pack arithmetic says that 30% FY27 revenue growth plus the H1 actuals and 21–

22% full-year margin would require H2 margin of about 26.4–28.2% (midpoint 27.3%). This is an analyst-implied hurdle, not a separate management forecast. Commissioning alone cannot establish utilization, saleable output, customer qualification or stable working capital. The valuation depends on a sharp transition from current margin pressure.

The analyst's 12-month bands are Bear ₹1,800 (25%), Base ₹2,800 (50%) and Bull ₹4,700 (25%). The weighted value is ₹3,025, or –11.44% versus the 6 November close of ₹3,415.95. These are scenario assumptions, not guidance, consensus or a calibrated probability distribution. They show how an attractive operating narrative can coexist with an unattractive weighted near-term payoff when the current price already discounts substantial growth. The probabilities are transparent inputs, not facts; different weights change the weighted outcome. Treat the bands as prompts to identify evidence that would shift the case, not as precise fair values.

The reverse DCF asks what sustained operating outcome is embedded in the equity-value proxy. It uses ₹7,378.45 Cr, based on the 6 November close and 2.16 Cr shares, with a ten-year explicit forecast, 12% WACC and 4% terminal growth. It tests constant normalized FCF margins of 8%, 10% and 12% from Year 1. These are analyst assumptions, not reported margins; FY26 FCF margin was –5.49%. The model ignores net debt and cash for simplicity. Its share-count basis is not an EPS calculation; the 2026 QIP and preferential issue are new shares, unlike the historical split adjustment. It is an expectations test, not fair value or management guidance.

Required revenue CAGR is 36.62% at an 8% normalized FCF margin, 33.33% at 10%, and 30.67% at 12%. Higher assumed cash conversion reduces the sales growth needed to support the same proxy, but even the most favorable tested margin requires 30.67% annual revenue growth across the horizon. These are model outputs, not predictions that TANFAC will deliver those rates. Nor is 12% a forecast simply because it gives the lowest required growth. The model's central message is the demanding combination of sustained growth and positive cash conversion embedded in the selected assumptions.

The peer matrix is best used as a question generator. TANFAC's displayed P/E premium sits alongside a screen ROCE of 23.9%, while its TTM growth and OPM readings are below those shown for Navin Fluorine and Gujarat Fluorochemicals; SRF has a lower displayed P/E

and different returns. Do not turn those rows into a clean ranking: vendor periods, accounting definitions, portfolio breadth, capacity cycles and product mixes differ, and TANFAC reports one formal segment with no product-level profit split. A common provider improves retrieval consistency, not comparability of businesses. The screen locates the premium; operating evidence must explain it.

The same-provider 8 November screen lists TANFAC P/E at 101.77x, against Navin Fluorine 51.11x, SRF 32.07x and Gujarat Fluorochemicals 74.06x. TANFAC screen growth is 12.84%, OPM 11.83% and ROCE 23.9%. Navin's growth and OPM are 45.68% and 30.29%; SRF's 19.67% and 18.79%; Gujarat Fluorochemicals' 20.33% and 17.43%. These are vendor-defined, period- and business-mix-sensitive measures, not audited peer comparables. The table suggests TANFAC has the group's highest multiple, but cannot alone establish relative value.

TANFAC's growth option is specific: new fluorochemical capacity and customer arrangements may change scale and mix, but announced volume and annual contract value do not guarantee margin, cash conversion or commissioning. The company does not publish product-level profit. A single multiple bundles mature acids, downstream products, construction, ramp-up, customer concentration and future refrigerant economics. Keep those drivers separate in your analysis even though the market price combines them.

Honeywell and Arkema offer strategic context, not direct comparisons. Honeywell's commercial arrangement with Arkema expands access to lower-GWP HFO blends under Arkema's Forane brand. Arkema Forane 32 is R-32 for air conditioning and heat pumps; its product source gives GWP 675/677 and classifies it A2L. Gujarat Fluorochemicals has a broader portfolio spanning fluoropolymers, fluorochemicals, battery chemicals and renewable energy, and includes R-32 in its refrigerant portfolio. A broader portfolio may diversify exposure but is an imperfect benchmark for a single-site producer at another expansion stage. No unsupported peer economics are assigned here.

Policy belongs in the valuation. R-32 has lower GWP than R-410A, but remains an HFC, not a zero-emission or permanent solution; the source gives GWP around 675/677. U.S. HFC phasedown guidance and EU Regulation 2024/573 signal transition risk alongside substitution opportunity. Regional pathways differ; these examples frame scenario risk, not a

specific TANFAC sales forecast. Do not capitalize a multi-year volume contract forever. The narrower conclusion is that today's price embeds an ambitious operating future, while reported H1 margins and FY26 free cash flow leave execution and conversion to prove.

For your decision, attach an evidence gate to each valuation case. Stronger H2 results would need to show margins recovering from H1 and Q2 readings, while cash conversion should confirm that growth is not being purchased through persistently heavier working capital and investment. Capacity, customer arrangements and guidance are leading indicators, but realized earnings and free cash flow are the eventual test. If those signals arrive, revisit the scenario assumptions; if they do not, a long-term growth narrative is not a substitute. Exact market close, audited history, interim presentation, vendor screen and analyst model each carry different evidentiary weight. Keep that hierarchy visible when you revisit the price.

NARRATOR'S REFLECTION — NAME THE PROOF

"Growth is a claim; cash is the receipt."

Before accepting the bull case, write down the next two observable proofs you need: stronger realized margins and cash conversion, not merely new capacity or announced order value. Which would change your view more, and what would make you admit the thesis is not working? Tie the answer to reported results and dated commitments.

GLOBAL PARALLEL (US/INDIA/EUROPE) • GLOBAL PARALLEL (US/INDIA/EUROPE)

"One transition; different positions in the value chain."

Honeywell and Arkema illustrate access to lower-GWP HFO blends and a branded platform; Arkema Forane 32 shows R-32 in the air-conditioning and heat-pump transition; Gujarat Fluorochemicals shows a broader Indian portfolio. These frame substitution, channel and portfolio questions. They are strategic parallels, not direct comparables, and no unverified economics are implied.

MENTAL MODEL — PRICE AS A HURDLE

"The market price is a hurdle, not a promise."

Treat price as a hurdle, not a target for your confidence. Identify what the snapshot measures; test the cash-flow assumptions needed to support it; then ask what evidence changes their probability. A compelling industry can still be a poor entry if the price requires flawless delivery.

CHAPTER VIII

The Trend Is Constructive; the Entry Is Not

> *"A rising tide can carry a good business—and a demanding price—at the same time."*
>
> — INSTITUTIONAL RESEARCH DESK MAXIM

A chart is a record of agreement, not a certificate of value. It shows what buyers and sellers have accepted; it cannot promise tomorrow's earnings will deserve today's price. Read TANFAC's trend with that distinction. Through Friday, 6 November 2026, evidence is constructive: the share remains in Stage 2, the 50-day average is rising, and the 200-day average sits well below it. But notice the latest move's light volume and the expectations already embedded in the business. Price structure may anticipate change; only results show whether that anticipation was earned.

Keep dates clean. The verified ledger records the 6 November close at ₹3,415.95. A separate TradingView snapshot retrieved on 8 November shows a vendor quote of ₹3,431.90; that small provider difference is not a second close. The ledger records 1W −2.40% and 1M +7.81%: a pullback inside a positive month. Use the dated close for price claims and the separately labelled snapshot for weekly levels. This prevents a later reading from silently rewriting what was verifiable at the cutoff.

The ledger puts the 50-day average at ₹3,344.73 and rising, the 20-day at ₹3,399.85, and the 200-day at ₹2,578.84. On 6 November the close was ₹71.22 above the 50-day line, or +0.39 ATR using ATR(14) of ₹180.79. That is modest extension. RSI(14) was 51.84, near the middle of its range, not a momentum extreme. ATR describes typical range, not a guaranteed boundary. These readings support "constructive"; none is an earnings forecast or a reason to ignore price.

Stage 2, or markup, describes an advancing primary trend. TANFAC is above its rising 50-day average, itself well above the 200-day. The 8 November TradingView snapshot adds weekly context: 10-week EMA ₹3,328.68 and 30-week SMA ₹2,822.21. These are snapshot readings, not replacements for 6 November daily averages. Slower weekly averages help

distinguish ordinary volatility from structural failure; one snapshot is not a sequence of weekly closes.

The wider market brings a warning. On 6 November the regime was “Uptrend (narrow breadth)”: 45.4% of the tracked market was above its 50-day average, with five distribution days. Headline indices can look stronger than participation beneath them. This does not negate TANFAC’s Stage 2 status, but it should temper confidence. A narrow advance may be vulnerable if leadership stalls, though breadth alone cannot time a turn. Treat it as context for sizing and patience, not a mechanical switch.

The volume reading is the clearest near-term caution: on 6 November it was 0.27 times the 20-day average. Light activity is not broad accumulation, though one quiet session neither proves distribution nor invalidates the trend. A reclaim and hold on improved activity would strengthen the signal; a drift higher without participation gives you little reason to chase. Volume is a quality check on the move, not a standalone verdict about intent.

The 8 November TradingView snapshot marks nearest support at ₹3,405.39, a support-buy zone of ₹3,278.75–₹3,456.47, and setup invalidation at ₹2,735.14. These levels map possibilities; they do not promise support. The 6 November ledger close falls within the snapshot zone, but records have different dates and providers. The invalidation is far below the zone, not a small or automatically acceptable loss; risk depends on entry and position size, not chart direction alone.

The no-FOMO instruction is exact: wait for a reclaim and hold above ₹3,456.47 on improved volume before considering a new entry. Until then, use the support zone to observe price behavior, not to justify a purchase merely because the quote is inside it. If support fails, do not defend your first opinion. No add is warranted while margin and free-cash-flow risks persist. The trigger addresses timing; the margin gate asks whether the business earns its valuation.

Valuation is why the trend is not permission. The 8 November vendor snapshot reports trailing P/E 101.77x, P/B 10.08x and market cap ₹7,564.61 crore. Screener’s same-date page gives 107x and ₹7,424 crore; a close-based proxy is about ₹7,378 crore. Providers and share counts differ, but every reading says the market expects growth. Its peer screen shows

NAVINFLUOR at 51.11x, SRF at 32.07x and FLUOROCHEM at 74.06x. They are not perfect comparables; use the screen as a warning, not a league table.

TANFAC is building growth in downstream fluorochemicals, solar-grade diluted hydrofluoric acid and HFC-32. Yet growth must become durable earnings and cash. FY26 EBITDA was ₹112.064 crore versus ₹128.864 crore in FY25; PAT was ₹70.143 crore versus ₹88.147 crore. In H1 FY27, revenue rose 21.2%, but EBITDA grew 5.6%, margin eased to 14.4% from 16.6%, and PAT was ₹35.9 crore versus ₹36.5 crore. Capacity can enable sales; it cannot guarantee attractive incremental returns. The operating trajectory is not yet clean confirmation of the premium.

Read TANFAC in two time frames. The chart is constructive: Stage 2, rising averages, mid-range RSI and modest extension from the 50-day line. Entry evidence is incomplete: volume is thin, breadth narrow, valuation demanding, and margins under pressure. You need not deny the trend to refuse a chase. Let price reclaim and hold above ₹3,456.47 on improved volume, then reassess whether earnings and cash evidence are catching up. Patience is not a bearish forecast; it asks the growth story to earn your capital.

> **NARRATOR'S REFLECTION — WHAT WOULD CHANGE YOUR MIND?**
>
> *"Let evidence change your mind before the price does."*
>
> Write down what would make you more constructive: a reclaim and hold above ₹3,456.47 on improved volume, followed by stabilizing margins. Then name what would make you step aside: failed support, weakening structure, or growth without operating conversion. A rule written in advance is easier to follow than a story improvised around a falling quote. The chart offers conditions, not certainty.

GLOBAL PARALLEL (US/INDIA/EUROPE) • GLOBAL FLUOROCHEMICALS IN TRANSITION

"Lower GWP is a transition step, not a synonym for zero impact."

R-32 links TANFAC's opportunity to a global refrigerant transition, but the comparison has boundaries. Europe's Arkema Forane 32 is used in air-conditioning and heat pumps; Honeywell and Arkema's U.S. arrangement concerns lower-GWP HFO blends; GFL is a larger, diversified Indian group. These are strategic parallels, not proof of matching margins or customer access. R-32 is lower-GWP than R-410A, not impact-free; phase-down policy keeps substitution risk in view.

MENTAL MODEL — TREND, PROOF, PRICE

"Trend first; proof next; price always."

Use three gates. Trend asks whether price remains in Stage 2; proof asks whether buyers confirm the reclaim with improved volume and whether margins follow growth; price asks whether expected return compensates you for a 101.77x vendor P/E. Passing the first gate does not waive the next two. The trend is positive, confirmation is pending, and valuation demands patience.

CHAPTER IX

What Must Go Right—and What Could Break

> *"An attractive possibility is not yet a funded return."*
>
> — INSTITUTIONAL RESEARCH DESK MAXIM

The decision is not whether TANFAC has a promising industrial story. It does. The decision is whether the proof already in hand can support the price you are asked to pay, and whether you can wait through the proof still missing. At the verified 6 November 2026 close of ₹3,415.95, the shares had advanced materially, while the company was still converting expansions and contracts into cash earnings. One stock-data provider's 8 November quote was ₹3,431.90; this chapter consistently uses the exact-date market ledger close, and does not treat that small cross-provider difference as investment evidence.

The strongest Bull case begins with integration, not with a fashionable end market. TANFAC turns fluorspar and sulphur into sulphuric acid, then hydrofluoric acid and downstream fluorinated products at one Cuddalore site. That structure can retain value across stages and make process know-how, reliability and quality important to customers. In FY26, sulphuric acid and oleum capacity of 100,000 tonnes per year ran at 101%, while 30,000 tonnes of HF capacity ran at 95%. Those utilization rates suggest an established operating base, not a greenfield promise. Captive power and waste-heat recovery, domestic sulphur sourcing, multiple fluorspar origins and proximity to Chennai port add practical supports, though none eliminates input or logistics risk.

Solar-grade diluted hydrofluoric acid is the Bull's differentiated leg. TANFAC reports trace elements below 10 parts per billion and use in solar-wafer texturing, cleaning and etching, and calls the platform India's first or only. Capacity rose from 20,000 tonnes at FY26 close to 25,000 tonnes by November 2026 after a ₹47 crore internally funded debottleneck. If customers value purity, qualification and dependable local supply, the addition could serve a growing manufacturing chain. But first-mover status alone proves neither a moat nor durable pricing power.

The Bull can point to named demand rather than rely only on sector forecasts. TANFAC disclosed a ₹732 crore, ex-GST order for Kredence Electronics Materials India and a separate ₹336 crore, ex-GST contract with Krishna Organics, both for solar-grade DHF through FY2028-29. Together, ₹1,068 crore is meaningful order visibility against the current capacity, and the releases say no additional capex is needed for this order execution. Still, the public material does not reveal customer-side process details, price formulas, product margins or updated coverage of the expanded 25,000-tonne capacity. You can regard the contracts as evidence of demand, not as guaranteed profit or proof that the same economics will repeat.

The next leg is larger and more consequential: a 20,000-tonne HFC-32 facility expected, as of 2 November 2026, to commission in Q3 FY27. The company has described long-duration supply arrangements and an aggregate commitment covering about 65% of HFC-32 capacity. A January release names an unnamed Japanese customer for 7,500 tonnes annually of fluorinated chemicals, with estimated annual value of ₹337.5 crore for seven years from 1 January 2027; it says this represents 37.5% of planned downstream capacity. Do not assume that all of this unnamed product is HFC-32. Other disclosed supply arrangements include an MNC MoU and an air-conditioning/commercial-refrigeration customer agreement. Together they make the utilization case plausible, but contract labels, scope and timing must be kept distinct.

Timely commissioning, specification-compliant output, customer offtake and contracted margins could change TANFAC's scale. At Q1, management described a roughly $5.5/kg formula-based price and fixed EBITDA margin for one tranche; that is not a guarantee for every tonne or cost. The Q2 deck listed ₹360 crore committed and ₹231 crore spent at 30 September; Q1 had cited ₹390 crore and ₹315 crore committed, while earlier materials described an approximately ₹495 crore package. These dated or differently scoped estimates must not be combined. Your test is saleable output and cash contribution, not nameplate capacity.

The Bear's strongest case is not that growth cannot happen; it is that investors may already be paying for much of it before cash economics are visible. FY26 revenue reached a record ₹711.1 crore, but EBITDA fell to ₹112.1 crore from ₹128.9 crore and PAT to ₹70.1 crore

from ₹88.1 crore. Operating EBITDA margin was 15.8%. In H1 FY27, revenue rose 21.2% to ₹417.7 crore, but EBITDA rose only 5.6% to ₹60.6 crore, margin contracted to 14.4% from 16.6%, and PAT slipped 1.6% to ₹35.9 crore. Q2 improved sequentially in reported growth, but its 13.3% EBITDA margin remained below the prior-year quarter's 16.2%. Higher realizations, sulphur, new-product ramp and power, fuel and freight were cited as pressures. The bear asks whether volume growth can become profitable growth.

FY26 operating cash flow was ₹43.4 crore after working capital and tax; ₹82.4 crore of PPE/CWIP cash purchases left FCF negative ₹39.0 crore. CFO equaled 61.9% of PAT. H1 borrowings and liquid assets are separately reported, so the company's "net debt negative" label depends on what counts as available cash. The ₹250 crore QIP and roughly ₹100 crore preferential issue add financing but are new equity, not internally generated FCF. The Bear reasonably demands proof that growth can fund working capital and capex and still produce cash.

Execution risk has several connected forms. TANFAC operates one reportable Fluoro-Chemicals segment at a single Cuddalore site; there is no product-level profit disclosure. A disruption, commissioning problem, utility constraint or environmental incident could therefore have a concentrated effect. At the same time, product and customer disclosure is too broad to independently reconstruct margins, concentration or contract protections. Fluorspar cost ₹313.4 crore and sulphur ₹104.6 crore in FY26, within ₹453.5 crore of raw and packing materials. Management described a 30–45-day lag in raw-material pass-through for AHF, so a price shock or timing mismatch can temporarily squeeze economics even where eventual pass-through is possible. The specialty inorganic fluorides business ran at 41% utilization in FY26; it is not yet proof that every downstream investment earns attractive returns.

R-32 has lower GWP than R-410A, but at roughly 675–677 it remains an HFC—not zero-emission or regulation-proof. U.S. phasedown rules and EU Regulation 2024/573 make transition risk relevant. Arkema markets Forane 32 for air conditioning and heat pumps; Arkema and Honeywell also describe a commercial arrangement for lower-GWP HFO blends. These show portfolio adaptation, not TANFAC-equivalent economics or an

immediate end to R-32 demand. The Bear questions duration and substitution; the Bull answers that contracted near-term demand can still have value.

At 101.77 times TTM earnings, TANFAC's valuation is above cited screens for larger fluorochemical peers, though businesses and vendor methods differ. The evidence-pack reverse DCF is an expectations test, not a target: even assuming normalized FCF margins of 8–12%, far above FY26's negative margin, it requires roughly 30.7–36.6% annual revenue growth for ten years. This does not prove overvaluation; it shows little room for merely adequate delivery.

The independent conclusion is more cautious than the operating Bull and less categorical than the structural Bear. TANFAC has real assets, established HF utilization, named solar-DHF orders, and a potentially material HFC-32 ramp. It also has a record of revenue growth and a route to broader customer reach. But the evidence available by the cutoff still shows falling H1 margins, negative FY26 free cash flow, incomplete product economics and a project not yet reported as commissioned. At approximately 101.77 times TTM earnings, the burden of proof belongs to execution. Our twelve-month assumptions are Bear ₹1,800 at 25%, Base ₹2,800 at 50%, and Bull ₹4,700 at 25%. The probability-weighted value is ₹3,025, about 11.44% below ₹3,415.95. These are analyst scenario values, not management guidance, promised targets or probabilities supplied by the company.

Bear ₹1,800 assumes commissioning or ramp trouble, persistent cost pressure, transition uncertainty and weak cash conversion; solar orders may still ship, but the multiple falls. Base ₹2,800 assumes the project progresses and sales grow while margins recover only gradually, leaving growth short of what today's valuation requires. Bull ₹4,700 assumes timely commissioning, stable contracted economics, high utilization, solar-DHF execution and cash generation that validates investment. These are simplified analyst-assumption 12-month endpoints, not guidance or a smooth-path forecast.

For 1–12 weeks, WAIT. The 8 November snapshot showed a ₹3,278.75–₹3,456.47 support-buy zone, nearest support ₹3,405.39, rising 50-DMA ₹3,344.73, and volume at 0.27× its 20-day average; price remained below the ₹3,648 52-week high. These are not intrinsic-value levels. Require a reclaim and hold above ₹3,456.47 on improved volume before a new entry; a break of support calls for reassessment, not automatic averaging down.

For 3–18 months, the judgment is WAIT FOR PROOF. The proof is specific: a company update confirming HFC-32 commissioning; subsequent utilization and shipments against the disclosed arrangements; capital cost and commissioning scope reconciled against dated estimates; margins recovering without relying solely on headline revenue growth; and cash conversion improving after working capital and capex. Track solar-DHF delivery against the ₹1,068 crore contracts while remembering that the public record does not disclose current coverage of the expanded denominator. If actual results validate these points, the Base/Bull probabilities can rise. If margins stay near H1 levels or commissioning slips, reduce the assumed economics even if the market continues to tell a growth story.

For 3–10 years, WATCHLIST; STAY AWAY from new money until FCF turns positive and growth converts into cash across more than one quarter. This is a price-and-proof rule, not a rejection of TANFAC's capabilities. Look for repeatable customer qualification, resilience through input cycles, returns on completed capex and positive FCF after maintenance and growth spending. A single site, opaque product margins, transition-sensitive refrigerants and a triple-digit multiple argue for patience until those outcomes appear.

As you and I close, keep the evidence clock in view: the valuation and technical read are anchored to the 6 November 2026 session; FY26 audited figures and the May/July calls remain historical inputs, while the 2 November investor presentation is the latest financial update. The citation check flags those older records as more than 60 days old, and we have left their dates intact. No Q2 transcript was posted on TANFAC’s official calls page by the cutoff, so our verbatim call excerpts come from the Q4 FY26 and Q1 FY27 transcripts and the Q2 management update comes from the presentation. What would cure the remaining recency gap is a future Q2 transcript and the next FY27 filing showing actual commissioning, margin recovery and cash conversion.

NARRATOR'S REFLECTION — WHAT WOULD CHANGE YOUR MIND?

"Set your proof conditions before the next result."

Ask yourself what evidence would make you change your mind. Is it a commissioning announcement alone, or saleable output, contracted shipments, margin recovery and cash collected? If only a higher share price can reassure you, you may be relying on sentiment rather than the operating thesis. Set your proof conditions before the next result, and keep the distinction between a signed order, revenue recognized, earnings earned and cash received.

GLOBAL PARALLEL (US/INDIA/EUROPE) • REGIONAL CONTEXT, NOT EQUIVALENCE

"The comparison is about strategic context, not equivalence."

The comparison is about strategic context, not equivalence. In the U.S., Honeywell's commercial arrangement with Arkema expands access to lower-GWP HFO blends under Arkema's Forane brand; it illustrates portfolio adaptation, not TANFAC's captive-AHF economics. In India, GFL's FY26 report spans fluoropolymers, fluorochemicals, battery chemicals and renewable energy, and its refrigerant portfolio includes R-32; its scale and diversification make it an imperfect valuation peer. In Europe, Arkema Forane 32 is R-32 for air conditioning and heat pumps, with GWP around 675–677. Together these examples show a market balancing current refrigerant demand with transition risk—not a guarantee for any supplier.

MENTAL MODEL — FROM CAPACITY TO CASH

"capacity → qualified output → profitable shipment → collected cash."

Use a four-link conversion chain: capacity → qualified output → profitable shipment → collected cash. A plant announcement proves only the first link. Customer qualification and commissioning bridge to saleable volume; realized price minus feedstock, utilities, freight and ramp costs determines contribution; working capital and capex determine what reaches free cash flow. TANFAC earns a higher valuation only as evidence travels down this chain. Track each link independently so that a strong order book does not conceal weak margins, and a good quarter does not conceal cash absorbed by inventory or construction.

Notes, Filings & Primary Sources

1. [1] TANFAC Industries Limited, 52nd Annual Report 2025–26 (audited).
2. [2] TANFAC Q4 & FY26 Earnings Conference Call Transcript, 12 May 2026.
3. [3] TANFAC Q1 FY27 Earnings Conference Call Transcript, 27 July 2026.
4. [4] TANFAC Q1 FY27 Investor Presentation.
5. [5] TANFAC Q4 & FY26 Investor Presentation.
6. [6] TANFAC downstream fluorinated-products expansion release, 9 Jan 2026.
7. [7] TANFAC Japanese-customer long-term supply contract release, 12 Jan 2026.
8. [8] TANFAC solar-grade DHF order release: Kredence Electronics Materials India, 5 Nov 2025.
9. [9] TANFAC solar-grade DHF contract release: Krishna Organics, 28 Nov 2025.
10. [10] TANFAC company profile.
11. [11] TANFAC Anhydrous Hydrofluoric Acid product specifications and applications.
12. [12] TANFAC Diluted Hydrofluoric Acid product specifications and applications.
13. [13] TANFAC Solar Grade DHF product specifications and applications.
14. [14] TANFAC Aluminum Fluoride product specifications and applications.
15. [15] TANFAC Sodium Silico Fluoride product specifications and applications.
16. [16] TANFAC Potassium Fluoride product specifications and applications.
17. [17] TANFAC Potassium Bifluoride product specifications and applications.
18. [18] TANFAC Sulphuric Acid 98 product specifications and applications.
19. [19] TANFAC official annual-report library.
20. [20] TANFAC official calls and transcripts library.
21. [21] TANFAC official press-release library.
22. [22] TANFAC official half-yearly and quarterly results library.
23. [23] Screener TANFAC financial, quarterly and ownership tables (secondary cross-check).
24. [24] TradingView TANFAC technicals.
25. [25] Yahoo Finance monthly split-adjusted TANFACIND.BO price history.
26. [26] BSE TANFAC corporate announcements.
27. [27] U.S. EPA HFC phasedown and AIM Act guidance.
28. [28] EU Regulation 2024/573 on fluorinated greenhouse gases.
29. [29] Solvay 2025 annual integrated report release.
30. [30] Arkema Forane 32 product page.
31. [31] Arkema lower-GWP refrigerants release; Honeywell commercial arrangement.
32. [32] Gujarat Fluorochemicals FY26 Integrated Annual Report.
33. [33] TANFAC Q2 & H1 FY27 official investor presentation, filed with BSE 2 Nov 2026.

• • •

This Masterclass Companion Book was authored for private study, audiobook narration, and disciplined portfolio execution.

Verified against the IN Research Ledger • Session Cutoff 2026-11-06